

Best Practices for Setting Fixed Price Contracts

To mitigate the risks associated with fixed price models and ensure a successful engagement, consulting firms should follow best practices when setting fixed price contracts:

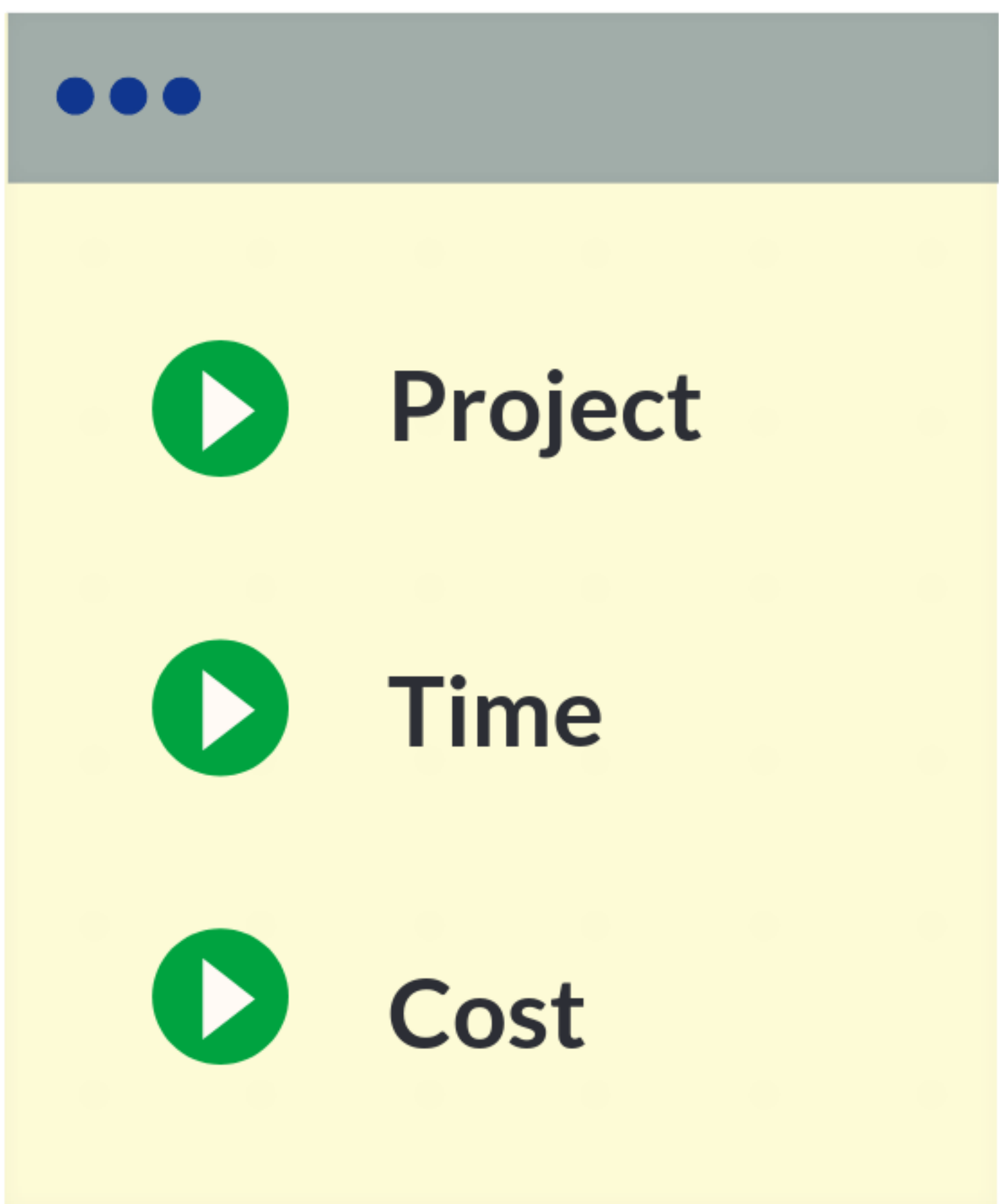
Clear Communication and Transparency



Maintain open and transparent communication with the client throughout the project lifecycle.

Regularly review progress, address concerns, and manage expectations to foster a collaborative and trusting relationship.

Risk Assessment



Identify and assess potential risks impacting the project’s timeline, cost, or quality.

Factor in appropriate contingencies or buffers in the pricing to mitigate the impact of these risks.

